



Rating
Buy

Asia
China

Technology
Software & Services

Company
Tencent

Reuters 0700.HK	Bloomberg 700 HK	Exchange HSI	Ticker 0700
ADR TCEHY	ISIN US88032Q1094		

Date
14 May 2026

Results

Price at 13 May 2026 (HKD)	462.60
Price target - 12mth (HKD)	800.00
52-week range (HKD)	677.50 - 457.20
Unavailable	26,388

Steady progress in AI development powers future growth

Strong core funds AI; buy maintained

Tencent delivered on track 1Q results, with revenue and adjusted net profit increasing 9% and 11% YoY, respectively. Notably, the company made significant initial progress on new AI products, including its LLM "Hy3 preview" and AI agent solutions such as WorkBuddy and CodeBuddy. These AI advancements have been instrumental in growing existing core businesses and driving rapid growth in token usage on Tencent Cloud. Core businesses sustained healthy momentum with GPM continuing its upward trend due to a favourable revenue mix. This solid performance provides strong cash flow, enabling significant investments in AI and offering practical use cases for future AI deployments. We broadly maintain our FY26/27 financial forecasts, and our target price remains unchanged at HKD800. We remain confident that Tencent can establish a strong AI position by leveraging its established consumer and enterprise ecosystem. Potential catalysts include future LLM updates or further breakthroughs in agentic AI applications. We reiterate our Buy rating.

Hy3 preview: established as a leading reasoning model with strong adoption

Hy3 preview is established as a leading reasoning model in China, demonstrating effectiveness in real-world software engineering and productivity tasks. Currently deployed across 131 internal Tencent products, including Yuanbao, QQ, and WorkBuddy, it benefits from iterative improvement. User and developer reception has been strong, evidenced by its #1 ranking in OpenRouter token usage since April 28th. The next iteration will focus on aggregating larger datasets and scaling reinforcement learning to strengthen contextual understanding, enhance agentic capabilities (e.g., coding), and increase general intelligence, optimized through co-design with other Tencent product teams.

Agentic AI: early lead, high adoption, and strategic platform integration

Tencent demonstrates an early lead in Agentic AI deployment. WorkBuddy boasts high daily active users (DAU), while both CodeBuddy and WorkBuddy exhibit strong organic growth and high retention rates among active and paying users. Tencent's comprehensive platform provides inherent advantages for hosting AI agents, facilitating user control through communication and browsing interfaces (Weixin, WeCom, QQ, Yuanbao, QQ Browser), and third-party applications. Users can also select AI models based on cost and performance. Future plans include enabling AI agents to access the Mini Programs ecosystem.

Valuation & Risks

Leo Chiang, CFA
Research Analyst
+852-220-36240

Key changes

Sales (FYE)	834,314 to 831,498	↓	-0.3%
Adjusted OP Income (FYE)	307,998.9 to 309,557.5	↑	0.5%
Adjusted Net profit (FYE)	285,230.7 to 283,788.3	↓	-0.5%

Source: Deutsche Bank

Price/price relative



Performance (%)	1m	3m	12m
Absolute	-5.6	-13.0	-8.6
HANG SENG INDEX	2.8	-0.7	14.2

Source: Deutsche Bank

Key indicators (FY1)

ROE (%)	19.5
Net debt/equity (%)	5.0
Book value/share (CNY)	151.77
Price/book (x)	2.6
Net interest cover (x)	–
Operating profit margin (%)	33.0

Source: Deutsche Bank

Deutsche Bank AG/Hong Kong

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Online games: revenue lag, reacceleration expected

Tencent's domestic online game revenue grew 6% YoY in 1Q26, slower than the gross receipts' teens percentage YoY growth. This disparity was primarily due to the timing of the 2026 Spring Festival, which shifted a portion of revenue recognition out of the current quarter. We anticipate revenue growth to reaccelerate in subsequent quarters, supported by (1) the recognition of strong deferred revenue recorded in 1Q, and (2) contributions from the new hit title, "Roco Kingdom: World."

Marketing services: AI-driven acceleration and enhanced closed-loop capabilities

Ad revenue accelerated to 20% YoY growth in 1Q26 (up from 17% YoY in 4Q25). This acceleration was driven by an upgraded AI-driven ad recommendation model and expanded closed-loop marketing capabilities within the Weixin ecosystem, resulting in improved ad performance and pricing. Ad spending increased across most major industry categories, with notable growth from internet services, e-commerce, and games. We anticipate continuous enhancements in ad-tech and closed-loop capabilities will sustain strong momentum in subsequent quarters.

FinTech and Business Services: continued growth, 2H pick-up expected

FinTech revenue growth was primarily driven by increased commercial payment and wealth management services. Business Services revenue rose 20% YoY, attributed to higher demand for cloud services in both domestic and international markets. We anticipate cloud revenue could further accelerate in 2H26 as chip supply becomes more readily available.

1Q26 key takeaways

Online games

- **Domestic Games** revenue grew 6% YoY to RMB 45.4bn. Revenue growth lagged gross receipts due to a later Spring Festival shifting recognition to 2H26.
 - **Evergreens:** Honor of Kings gross receipts hit a lifetime high. Peacekeeper Elite peak DAU reached 90mn, up 30% YoY gross receipts, which was driven by a new mode and IP collaborations (Ferrari, Douluo Continent, etc.). Delta Force DAU/gross receipts also at lifetime highs.
 - **New Titles:** VALORANT Mobile consistently a top-10 industry mobile game since launch. Roco Kingdom: World sustained 13mn + DAU across PC and mobile in its first month.
- International Games revenue was up 13% YoY to RMB 18.8bn, driven by Clash Royale, Wuthering Waves, and VALORANT PC. Brawl Stars saw rapid DAU/gross receipt growth in March. League of Legends DAU/receipts resurged on new content.

AI

- Tencent launched **Hy3 preview** in April 2026. Management claims Hy3 is best-in-class for its size in reasoning, agentic, and coding capabilities. It has been the most-used model by token usage since April 28 on OpenRouter.
- **CodeBuddy** and **WorkBuddy** achieved 60%+ active-user and 80%+ paying-user retention. Management states WorkBuddy is China's most widely used productivity AI agent, with token usage on Tencent Cloud rising rapidly.



- **Core Business Integration:** AI is driving tangible results:
 - Weixin Search: LLM-powered ranking lifted query volume up over 25% YoY.
 - Video Accounts: Enhanced recommendation models boosted time spent over 20% YoY.
 - Ads: Upgraded runtime models improved CTR and ad pricing.
 - Games: Accelerating 3D asset production and enriching NPC interactions.
- Non-IFRS OP was +9% YoY at a stable 38.5% OPM. Excluding new AI products, non-IFRS OP was +17% YoY with OPM expanding to 43.0% (vs. 39.9% in 1Q25).

Marketing services

- Revenue grew 20% YoY to RMB38.2bn, accelerating from 17% YoY in 4Q25, which was driven by AI ad model upgrades, expanded Weixin closed-loop capabilities, and improved ad pricing. Internet services, eCommerce, and games were the key verticals of strength.
- AIM+ powered about 30% of total marketing spend in 1Q26, with strong traction from mini game, mini drama, and mini shop advertisers.
- Video Accounts Ad impressions grew rapidly on higher time spent and ad load. New rewarded ad inventory delivered high CTRs.

Fintech and business services

- **FinTech Services** revenue grew YoY, driven by commercial payments and wealth management. Payment volume growth accelerated vs. 4Q25 on higher transaction count and value in retail/dining.
- **Business Services** grew 20% YoY, which was driven by Cloud services as higher AI-related demand, more favorable pricing, and Mini Shops eCommerce tech fees. Tencent Cloud international revenue grew over 40% YoY.

Social & Communications

- Weixin&WeChat combined MAU reached 1,432mn, up 2% YoY. QQ mobile MAU was 516mn, down 3% YoY. Fee-based VAS subscriptions were 266mn, broadly flat YoY.

Shareholder returns

- **Share Repurchase:** Tencent repurchased approximately 12.65mn shares for a total consideration of HKD7.6bn in 1Q26.

[1Q26 earnings review](#)



Figure 1: 1Q26 earnings review

YE 31 Dec Figures in RMBm excp. EPS	1Q26E	vs. Dbe		vs. Consensus	
		1Q26E	% diff	1Q26E	% diff
Net revenues	196,458	199,788	-2%	199,391	-1%
Growth, %	9%	11%		1%	
VAS	96,110	100,555	-4%		
SNS	31,910	33,670	-5%		
Domestic games	45,400	46,965	-3%		
International games	18,800	19,920	-6%		
Marketing Services	38,171	37,468	2%		
Fintech & Business Solution	59,885	59,248	1%		
Gross profit	111,265	112,669	-1%	112,712	-1%
Gross margin, %	57%	56%		57%	
Operating profit (Non-GAAP)	75,627	75,049	1%	na	na
OP margin, non-GAAP %	38%	38%		na	
Net income (Non-GAAP)	67,905	66,113	3%	67,830	0%
NP margin, non-GAAP %	35%	33%		34%	

Source : Company data, Deutsche Bank estimates, Bloomberg Finance LP

Forecast changes

Figure 2: Earnings revisions and comparisons vs. consensus

YE 31 Dec Figures in RMBm excp. EPS	Annual		Previous Dbe				vs. Consensus			
	FY2026E	FY2027E	FY2026E	% diff	FY2027E	% diff	FY2026E	% diff	FY2027E	% diff
Net revenues	831,498	906,176	834,314	0%	909,527	0%	832,690	0%	915,075	-1%
Growth, %	11%	9%	11%		9%		11%		10%	
VAS	397,140	422,056	405,318	-2%	431,450	-2%				
SNS	130,890	134,608	132,388	-1%	136,238	-1%				
Domestic games	179,466	191,986	180,170	0%	193,176	-1%				
International games	86,784	95,462	92,760	-6%	102,036	-6%				
Marketing Services	173,540	202,702	170,362	2%	198,952	2%				
Fintech & Business Solution	251,649	272,250	248,566	1%	269,058	1%				
Gross profit	473,298	522,611	475,238	0%	524,932	0%	474,009	0%	527,632	-1%
Gross margin, %	57%	58%	57%		58%		57%		58%	
Operating profit (Non-GAAP)	309,557	341,151	307,999	1%	340,045	0%	na	na	na	na
OP margin, non-GAAP %	37%	38%	37%		37%		na		na	
Net income (Non-GAAP)	283,788	310,440	285,231	-1%	311,899	0%	279,873	1%	310,575	0%
NP margin, non-GAAP %	34%	34%	34%		34%		34%		34%	

Source : Deutsche Bank estimates, Bloomberg Finance LP

Valuation and risks

We use a DCF valuation, assuming a WACC of 8.0%, with a risk-free rate of 2.5%, an equity risk premium of 5%, and a 2% terminal growth rate. Key downside risks include macro uncertainty, a rapid deterioration in key online games, competitive pressures, regulation, and heavy investments.

Forecasts and ratios

Year End Dec 31	2024A	2025A	2026E	2027E	2028E
Sales (CN¥m)	660,257.0	751,766.0	831,498.1	906,175.7	989,106.2
EBITDA (CN¥m)	264,312.0	307,590.0	355,676.0	403,019.3	456,745.1
Reported NPAT (CN¥m)	194,073.0	224,842.0	245,641.5	271,911.3	300,978.7
Pro-forma NPAT (CN¥m)	-	-	-	-	-
Pro-forma EPS (CN¥)	-	-	-	-	-
Reported EPS FD(CN¥)	20.59	24.32	26.78	29.64	32.81



DB EPS FD(CNY)	23.63	28.08	30.94	33.84	37.08
OLD DB EPS FD(CNY)	23.63	28.08	30.86	33.74	36.99
% Change	0.0%	0.0%	0.3%	0.3%	0.3%
DB EPS growth (%)	44.2	18.8	10.2	9.4	9.6
PER (x)	14.0	17.7	13.0	11.9	10.8
EV/EBITDA (x)	9.4	12.5	7.8	6.4	5.0
DPS (net) (CNY)	3.36	4.39	4.83	5.34	5.91
Yield (net) (%)	1.0	0.9	1.2	1.3	1.5

Source: Deutsche Bank estimates, company data



Model updated: 14 May 2026

Running the numbers

Asia
China
Software & Services

Tencent

Reuters: 0700.HK Bloomberg: 700 HK

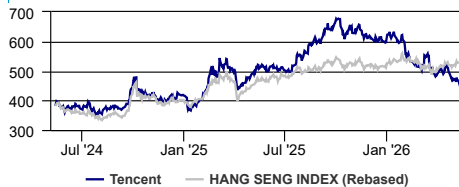
Buy

Price (13 May 26) HKD 462.6
Target Price HKD 800.0
52 Week range HKD 457.20 - 677.50
Market cap (m) HKDm 4,206,075
USDm 537,109

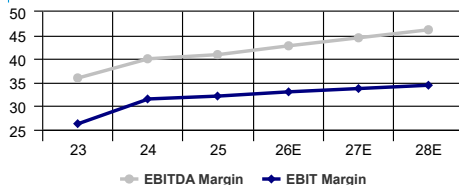
Company Profile

Tencent Holdings Ltd provides internet, mobile and telecommunication value-added services in China. The company has an instant messaging community in China. Tencent also provides online advertising services.

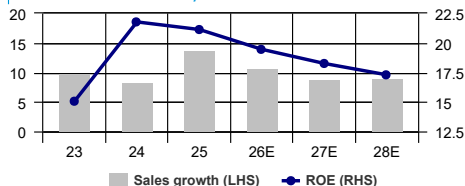
Price Performance



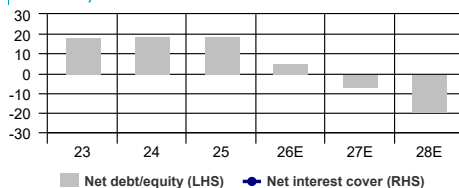
Margin Trends



Growth & Profitability



Solvency



Leo Chiang, CFA

+852 220 36240

leo.chiang@db.com

Fiscal year end 31-Dec

Financial Summary

	2023	2024	2025	2026E	2027E	2028E
DB EPS (CNY)	16.39	23.63	28.08	30.94	33.84	37.08
Reported EPS (CNY)	11.97	20.59	24.32	26.78	29.64	32.81
DPS (CNY)	2.30	3.36	4.39	4.83	5.34	5.91
BVPS (CNY)	85.4	104.7	126.9	151.8	177.9	207.3
Weighted average shares (m)	9,467	9,294	9,092	9,033	9,033	9,033
Average market cap (CNYm)	2,882,833	3,082,800	4,531,402	3,647,374	3,647,374	3,647,374
Enterprise value (CNYm)	2,358,209	2,475,499	3,855,043	2,783,263	2,567,546	2,280,314

Valuation Metrics

P/E (DB) (x)	18.6	14.0	17.7	13.0	11.9	10.8
P/E (Reported) (x)	25.4	16.1	20.5	15.0	13.5	12.2
P/BV (x)	3.11	3.67	4.35	2.64	2.25	1.93
FCF Yield (%)	6.1	5.5	4.2	6.3	7.2	9.3
Dividend Yield (%)	0.8	1.0	0.9	1.2	1.3	1.5
EV/Sales (x)	3.9	3.7	5.1	3.3	2.8	2.3
EV/EBITDA (x)	10.8	9.4	12.5	7.8	6.4	5.0
EV/EBIT (x)	14.7	11.9	16.0	10.1	8.4	6.7

Income Statement (CNYm)

Sales revenue	609,015	660,257	751,766	831,498	906,176	989,106
Gross profit	293,109	349,246	422,593	473,298	522,611	577,867
EBITDA	219,082	264,312	307,590	355,676	403,019	456,745
Depreciation	26,305	27,332	32,799	45,140	58,262	73,492
Amortisation	32,703	28,881	33,229	35,921	39,149	42,734
EBIT	160,074	208,099	241,562	274,615	305,608	340,519
Net interest income/(expense)	13,808	16,004	16,909	16,360	16,620	16,620
Associates/affiliates	5,800	25,176	23,740	14,480	14,480	14,480
Exceptionals/extraordinaries	-12,268	-11,981	-15,130	-11,815	-11,514	-11,514
Other pre-tax income/(expense)	-6,090	4,187	10,168	7,712	7,712	7,712
Profit before tax	161,324	241,485	277,249	301,351	332,906	367,818
Income tax expense	43,276	45,018	47,448	50,514	55,799	61,643
Minorities	2,832	2,394	4,959	5,196	5,196	5,196
Other post-tax income/(expense)	0	0	0	0	0	0
Net profit	115,216	194,073	224,842	245,641	271,911	300,979
DB adjustments (including dilution)	42,472	28,630	34,784	38,147	38,529	39,195
DB Net profit	157,688	222,703	259,626	283,788	310,440	340,173

Cash Flow (CNYm)

Cash flow from operations	221,962	258,521	303,052	346,328	389,939	438,911
Net Capex	-46,793	-89,118	-112,729	-118,922	-129,603	-101,902
Free cash flow	175,169	169,403	190,323	227,406	260,336	337,009
Equity raised/(bought back)	-42,697	-100,399	-70,591	0	0	0
Dividends paid	-21,788	-31,244	-39,907	-43,599	-48,261	-53,420
Net inc/(dec) in borrowings	9,304	-14,320	52,706	0	0	0
Other investing/financing cash flows	-104,407	-63,241	-124,009	-20,302	-20,603	-20,603
Net cash flow	15,581	-39,801	8,522	163,506	191,471	262,986
Change in working capital	19,233	21,881	16,484	13,253	14,245	15,335

Balance Sheet (CNYm)

Cash and other liquid assets	172,320	132,519	141,041	304,547	496,018	759,004
Tangible fixed assets	53,232	80,185	149,905	196,230	237,647	233,392
Goodwill/intangible assets	177,727	196,127	205,999	197,535	188,310	178,240
Associates/investments	686,761	804,774	912,509	936,755	961,001	985,247
Other assets	487,206	567,390	629,532	646,973	660,766	680,935
Total assets	1,577,246	1,780,995	2,038,986	2,282,040	2,543,742	2,836,818
Interest bearing debt	334,457	329,992	377,191	377,191	377,191	377,191
Other liabilities	369,108	397,107	420,730	441,796	461,995	484,245
Total liabilities	703,565	727,099	797,921	818,987	839,186	861,436
Shareholders' equity	808,591	973,548	1,154,152	1,370,943	1,607,251	1,872,881
Minorities	65,090	80,348	86,913	92,109	97,305	102,501
Total shareholders' equity	873,681	1,053,896	1,241,065	1,463,052	1,704,556	1,975,382
Net debt	162,137	197,473	236,150	72,644	-118,827	-381,813

Key Company Metrics

Sales growth (%)	9.8	8.4	13.9	10.6	9.0	9.2
DB EPS growth (%)	37.2	44.2	18.8	10.2	9.4	9.6
EBITDA Margin (%)	36.0	40.0	40.9	42.8	44.5	46.2
EBIT Margin (%)	26.3	31.5	32.1	33.0	33.7	34.4
Payout ratio (%)	18.9	16.1	17.7	17.7	17.7	17.7
ROE (%)	15.1	21.8	21.1	19.5	18.3	17.3
Capex/sales (%)	7.7	13.5	15.0	14.3	14.3	10.3
Capex/depreciation (x)	0.8	1.6	1.7	1.5	1.3	0.9
Net debt/equity (%)	18.6	18.7	19.0	5.0	-7.0	-19.3
Net interest cover (x)	nm	nm	nm	nm	nm	nm

Source: Company data, Deutsche Bank estimates



Appendix 1

Important Disclosures

*Other information available upon request

Disclosure checklist			
Company	Ticker	Recent price*	Disclosure
Tencent	0700.HK	462.6 (HKD) 13 May 2026	2, 14, 24

*Prices are current as of the end of the previous trading session unless otherwise indicated and are sourced from local exchanges via Reuters, Bloomberg and other vendors. Other information is sourced from Deutsche Bank, subject companies, and other sources. For disclosures pertaining to recommendations or estimates made on securities other than the primary subject of this research, please see the most recently published company report or visit our global disclosure look-up page on our website at <https://research.db.com/Research/Disclosures/EquityResearchDisclosures>. Aside from within this report, important risk and conflict disclosures can also be found at <https://research.db.com/Research/Disclosures/Disclaimer>. Investors are strongly encouraged to review this information before investing.

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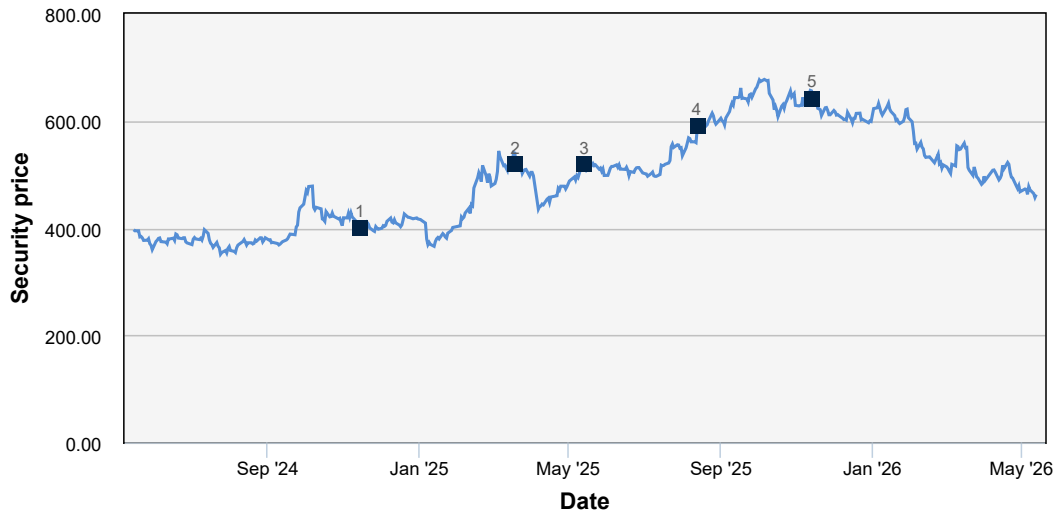
Analyst Certification

The views expressed in this report accurately reflect the personal views of the undersigned lead analyst(s) about the subject issuer and the securities of the issuer. In addition, the undersigned lead analyst(s) has not and will not receive any compensation for providing a specific recommendation or view in this report. Leo Chiang.



Historical recommendations and target price: Tencent (0700.HK)

(as of 05/13/2026)



Current Recommendations

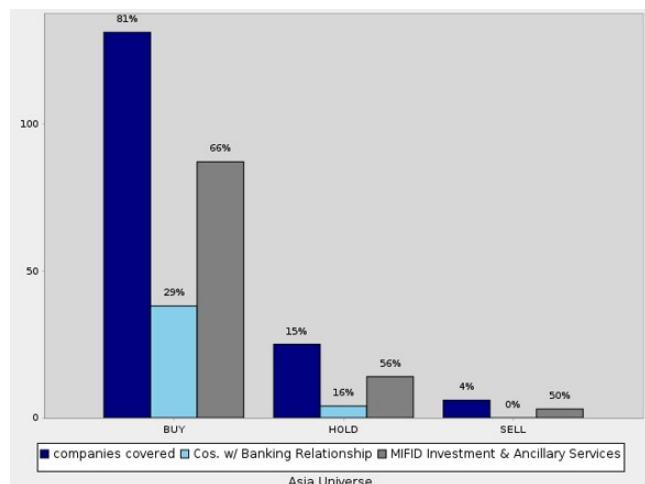
Buy
Hold
Sell
Not Rated
Suspended Rating

** Analyst is no longer at Deutsche Bank

1.	11/15/2024	Buy, Target Price Change HKD 540.00, Current Price HKD 401.00 Leo Chiang, CFA	4.	08/14/2025	Buy, Target Price Change HKD 720.00, Current Price HKD 590.00 Leo Chiang, CFA
2.	03/20/2025	Buy, Target Price Change HKD 650.00, Current Price HKD 519.50 Leo Chiang, CFA	5.	11/14/2025	Buy, Target Price Change HKD 800.00, Current Price HKD 641.00 Leo Chiang, CFA
3.	05/15/2025	Buy, Target Price Change HKD 675.00, Current Price HKD 520.00 Leo Chiang, CFA			



Equity rating dispersion and banking relationships



Equity Rating and Dispersion Key

The Equity Rating Dispersion Chart depicts the following:

The proportion of recommendations that are rated "buy", "sell" and "hold" over the previous 12 months. This is shown for securities issued in the stated region e.g. "Europe Universe". See rating definitions below. This is represented by the "Companies Covered" bars in the chart. The percentage value displayed above the bar is the proportion as a percentage. E.g. 50% above the "buy" / "Companies Covered" bar means that 50% of DB's equity research covered companies over the past 12 months have a "buy" rating.

Next to each of the three respective bars showing the proportion of "buy", "sell" and "hold" recommendations we provide two additional bars to show:

- The proportion of "buy", "sell" or "hold" recommendations where Deutsche Bank and/or Affiliates provided MIFID Investment or Ancillary Services in the past 12 months. This is represented in the "MIFID Investment and Ancillary Services" bar. The percentage value displayed above the bar shows the proportion of Companies Covered with the given rating where DB has also provided MIFID Investment and Ancillary Services in the past 12 months. E.g. 50% above the "Cos. w/ MIFID Investment and Ancillary Services" bar means 50% of the Companies Covered with the rating stated have also received MIFID Investment and Ancillary Services from DB.

- The proportion of "buy" (or "sell" or "hold") recommendations where Deutsche Bank and/or Affiliates has provided Investment Banking services in the past 12 months for which it has received compensation. The percentage value displayed above the bar shows the proportion of Companies Covered with the stated rating where DB has also provided Investment Banking services in the past 12 months. E.g. 50% above the "Cos. w/ Investment Banking relationship" bar means 50% of the Companies Covered with the rating stated also have an Investment Banking Relationship with DB.

Buy: Based on a current 12-month view of TSR, we recommend that investors buy the stock.

Sell: Based on a current 12-month view of TSR, we recommend that investors sell the stock.

Hold: We take a neutral view on the stock 12-months out and, based on this time horizon, do not recommend either a Buy or Sell.

TSR = Total Shareholder Return. Percentage change in share price from current price to projected target price plus projected dividend yield

Newly issued research recommendations and target prices supersede previously published research.



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David Folkerts-Landau

Group Chief Economist and Global Head of Research

Pam Finelli
Global Chief Operating Officer
Research

Steve Pollard
Global Head of Company
Research and Sales

Jim Reid
Global Head of
Macro and Thematic Research

Tim Rokossa
Head of Germany
Research

Gerry Gallagher
Head of European
Company Research

Matthew Barnard
Head of Americas
Company Research

Peter Milliken
Head of APAC
Company Research

Debbie Jones
Global Head of Sustainability
and Data Innovation, Research

Sameer Goel
Global Head of EM & APAC
Research

Francis Yared
Global Head of Rates Research

George Saravelos
Global Head of FX Research

Peter Hooper
Vice-Chair of Research

International Production Locations

Deutsche Bank AG

Deutsche Bank Place
Level 16
Corner of Hunter & Phillip
Streets
Sydney, NSW 2000
Australia
Tel: (61) 2 8258 1234

Deutsche Bank AG

Equity Research
Mainzer Landstrasse 11-17
60329 Frankfurt am Main
Germany
Tel: (49) 69 910 00

Deutsche Bank AG

Filiale Hongkong
International Commerce
Centre,
1 Austin Road West, Kowloon,
Hong Kong
Tel: (852) 2203 8888

Deutsche Securities Inc.

1-3-1 Azabudai
Azabudai Hills Mori JP Tower
Minato-ku, Tokyo 106-0041
Japan
Tel: (81) 3 6730 1000

Deutsche Bank AG

21 Moorfields
London EC2Y 9DB
United Kingdom
Tel: (44) 20 7545 8000

Deutsche Bank Securities Inc.

The Deutsche Bank Center
1 Columbus Circle
New York, NY 10019
Tel: (1) 212 250 2500

Deutsche Bank AG

Filiale Singapur
One Raffles Quay, South
Tower,
Singapore 048583
Tel: +65 6423 8001